

name of Tetrapod. In those days most of the shares were priced at Rs 10. So Kamani ventured a quote, even though he had no idea what the company was about.

“One rupee,” he told Shroff.

“Is that your best rate?” Shroff asked.

“Yes, Mr Shroff, I am sure you know that nobody offers better rates than I do,” he said.

“Of course I do, Kamani, I would like to buy 5,000 shares,” saying which Shroff shook hands on the deal and Kamani noted it in his diary.

Five days later, Kamani came to Shroff’s office one evening.

“Mr Shroff, is this Tetraford a joint venture with the Ford Company of the US?” he wanted to know.

Even I was amused that Kamani could offer a quote for a company whose very spelling he was not sure about.

“Yes, of course,” Shroff said, sounding serious.

“In that case, is there some prospectus available?” asked Kamani.

“Why, what happened??” Shroff asked in return.

“I told my clients about the company and there is strong demand for it. One of my clients said it could possibly be a JV with Ford. If that is the case, I want to quote a proper premium so that I don’t end up on the losing side,” he said.

Shroff promised to get the prospectus for him in a couple of days, and then two days later told him about the joke. Such was the booming grey market that some of the leading newspapers carried the grey market rates for the Tetraford issue alongside the regular stock quotations issued by the exchange,’ GB recalled.

‘This almost made the quotes appear as authentic as the official quotes for the regular market. The rates were diligently faxed to the newspaper offices by Kamani and his group. Worried that this could invite trouble from the government, BSE president Phiroze Jeejeebhoy called the grey market players to his office and warned them against providing quotes to the newspapers in the manner that they had.’

GB’s other story was about a Delhi-based company called Milk Food Products, which was looking to raise money through a public issue.

‘The company had hired a top foreign bank to market the issue, but response to the issue was lukewarm. A senior official by the name of Ahuja